Block practice · Depreciation and disposals

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Why non-current assets lose value (causes of depreciation)

Why businesses charge depreciation

Calculating depreciation and carrying value

Choosing between straight line and reducing balance, and changing method

Provision for depreciation account

Disposal of non-current assets: cost, disposal and profit or loss on sale

OLevels.COM SCHOOL

Practice workbook · Why non-current assets lose value (causes of depreciation)

Why non-current assets lose value over time, on either paper.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-01

1. Question 13 · part b · 2 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

.....

(Total for Question 13 = 5 marks)

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OLevels.com SCHOOL

Working and answer

2. Question 16 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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2. Question 16 · part c · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

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2. Question 16 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

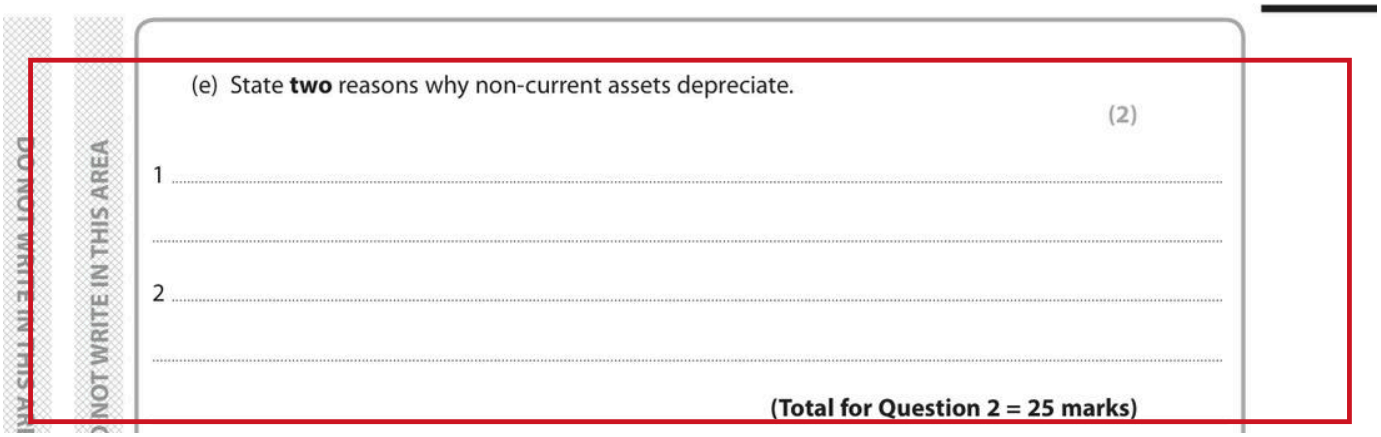
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3. Question 2 · part e · 2 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.



(e) State **two** reasons why non-current assets depreciate.

(2)

1 .....

.....

2 .....

.....

(Total for Question 2 = 25 marks)

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Working and answer

OLevels.com SCHOOL

4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

OLevels.com SCHOOL

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2

P 6 0 6 8 4 A 0 2 1 2

4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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OLevels.com SCHOOL

4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

OLevels.com SCHOOL

(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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4. Question 1 · part d · 2 marks

2020 JAN · Paper 02

Further practice · Attempt part d only.

(e) State **two** concepts that apply when depreciating non-current assets.

(2)

1 .....

2 .....

(f) (i) State the formula for each ratio.

(2)

Ratio	Formula	2019	2018
Current (working capital)		1.8:1	2:1
Liquid (acid test)		0.5:1	1:1

(ii) Evaluate the change in liquidity.

(5)

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(Total for Question 1 = 25 marks)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 13 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

13 On 31 December 2019, Lewin sold a motor vehicle, cost $20 000, with a carrying value of $16 000. The proceeds of the sale, $16 400, were received by cheque.

(a) Prepare the disposal account for the year ended 31 December 2019.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(b) State **one** cause of depreciation of a non-current asset.

(1)

.....

.....

(Total for Question 13 = 5 marks)

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OLevels.com SCHOOL

Working and answer

6. Question 18 · part b · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part b only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

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6. Question 18 · part b · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 17 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	Revenue expenditure
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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7. Question 17 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 7 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

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7 Identify which of the following are causes of depreciation.

1 Passage of time

2 Usage

3 Wear and tear

☒ **A** 1 and 2 only

☒ **B** 1 and 3 only

☒ **C** 2 and 3 only

☒ **D** 1, 2 and 3

(Total for Question 7 = 1 mark)

Working and answer

OLevels.COM — SCHOOL —

9. Question 18 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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9. Question 18 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Why businesses charge depreciation

The purpose of depreciation, spreading cost over the years that benefit, explained through the accruals (matching) and prudence concepts.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-02

1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

18 On 1 May 2023 Alex owed wages of $1 580, and had paid wages in advance of $920

During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(5)

Wages Account

Date	Details	$	Date	Details	$

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1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

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On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Rent Receivable Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.

On 1 May 2023 the balance on the motor vehicles cost account was $172 000 and the balance on the motor vehicles provision for depreciation account was $85 000

On 30 September 2023 Alex sold a motor vehicle for $16 000 and received a bank transfer in full settlement.

This motor vehicle had been purchased on 31 March 2022 for $36 000 and had a residual value of $8 000

Alex depreciates motor vehicles at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Prepare the motor vehicles – provision for depreciation account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Motor Vehicles – Provision for Depreciation Account

Date	Details	$	Date	Details	$

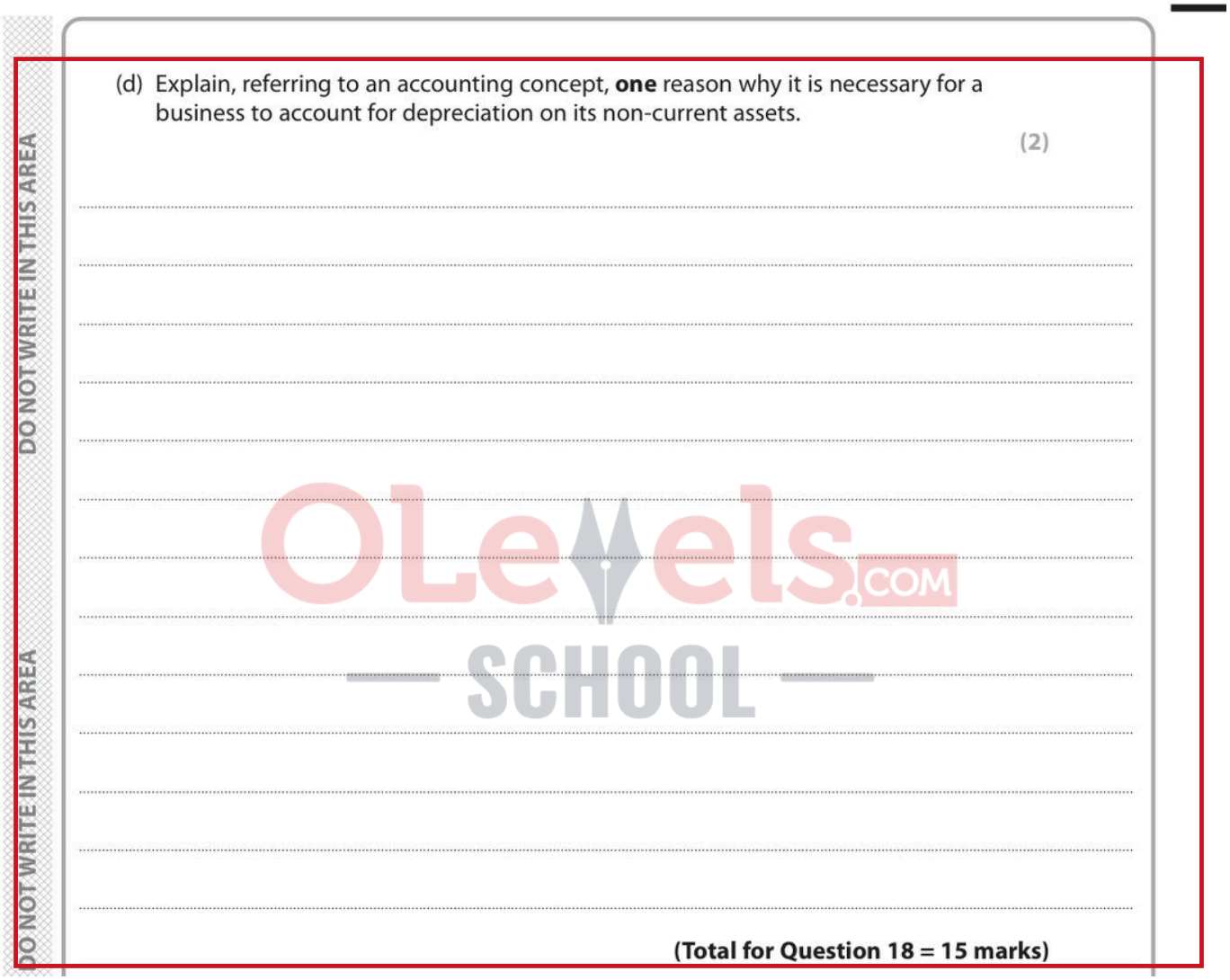
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1. Question 18 · part d · 2 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part d only.



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(d) Explain, referring to an accounting concept, **one** reason why it is necessary for a business to account for depreciation on its non-current assets.

(2)

(Total for Question 18 = 15 marks)

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1. Question 18 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 18 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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2. Question 18 · part e · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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On 1 January 2022 Wang purchased machinery at a cost of $60 000. He intended to use the machinery for five years and estimated that the machinery would have a scrap value of $10 000

(d) Prepare the machinery – provision for depreciation account for the years ended 31 December 2022 and 31 December 2023 using the **reducing balance** method of depreciation at a rate of 20% per annum.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

(e) Explain **one** reason why the accruals concept applies when depreciating non-current assets.

(2)

.....

.....

.....

.....

(Total for Question 18 = 15 marks)

2. Question 18 · part e · 2 marks · Working and answer

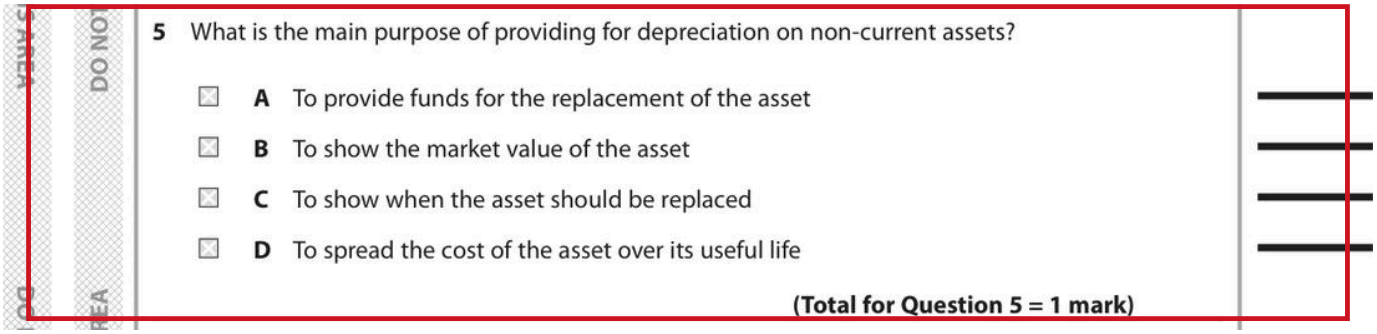
Working and answer

OLevels.com SCHOOL

3. Question 5 · part whole · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



5 What is the main purpose of providing for depreciation on non-current assets?

- ☒ **A** To provide funds for the replacement of the asset
- ☒ **B** To show the market value of the asset
- ☒ **C** To show when the asset should be replaced
- ☒ **D** To spread the cost of the asset over its useful life

(Total for Question 5 = 1 mark)

Working and answer

OLevels.COM SCHOOL

4. Question 6 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.

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6 Identify the main purpose of providing depreciation on non-current assets.

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To provide funds for the replacement of the asset
- ☒ **C** To show the market value of the asset
- ☒ **D** To spread the cost of the asset over its useful life

(Total for Question 6 = 1 mark)

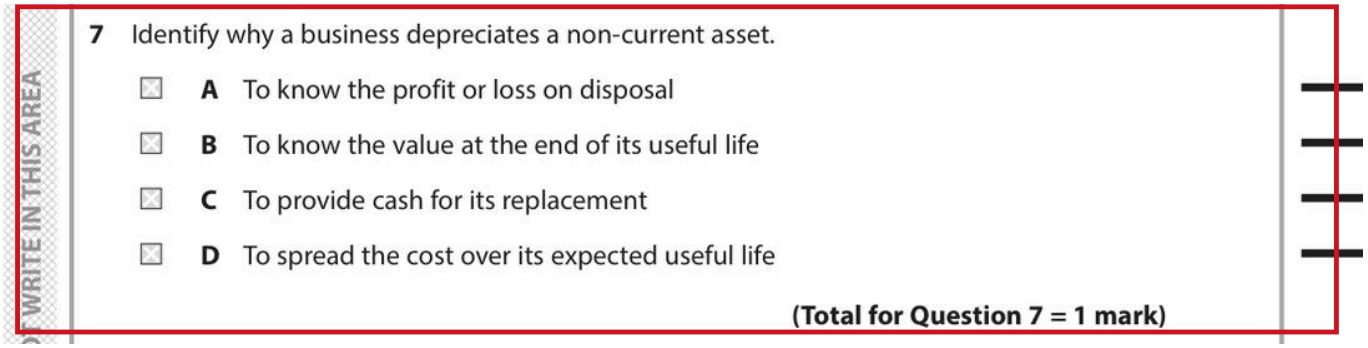
Working and answer

OLevels.com SCHOOL

5. Question 7 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.



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7 Identify why a business depreciates a non-current asset.

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its expected useful life

(Total for Question 7 = 1 mark)

Working and answer

OLevels.com SCHOOL

6. Question 6 · part whole · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part whole only.

DO NOT WRITE

6 Why does a business depreciate a non-current asset?

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its useful life

(Total for Question 6 = 1 mark)

Working and answer

OLevels.com SCHOOL

7. Question 8 · part whole · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part whole only.

8 Which one is a reason for a business to depreciate a non-current asset?

- ☒ **A** To know the profit or loss on disposal
- ☒ **B** To know the value at the end of its useful life
- ☒ **C** To provide cash for its replacement
- ☒ **D** To spread the cost over its expected useful life

(Total for Question 8 = 1 mark)

DO NOT

Working and answer

OLevels.com SCHOOL

8. Question 18 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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OLevels.com SCHOOL

8. Question 18 · part a · 2 marks

2023 NOV · Paper 01

Further practice · Attempt part a only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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OLevels.com SCHOOL

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Turn over

8. Question 18 · part a · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

2 Ali provides consultancy services to local businesses.
He provided the following information.

	At 1 May 2021 $	At 30 April 2022 $
Motor vehicle – Cost	34 000	To be calculated
Motor vehicle – Provision for depreciation	12 000	
Provision for irrecoverable debts	140	
Equity	17 100	
Bank loan	2 500	1 800
Bank overdraft	5 140	2 060
Other payables – wages	210	–
Other payables – fuel	310	480
Trade receivables – income owing	2 800	3 270
Other receivables – office rent and rates	600	1 200
Other receivables – insurance	–	110

OLevels.COM SCHOOL

During the year ended 30 April 2022

- Total income received was $71 690
- Ali took total drawings of $35 350
- The following payments were made:
  - wages $15 920
  - fuel $8 140
  - insurance $660
  - office rent and rates $7 800
  - bank loan and interest repayments $740

Additional information

- The motor vehicle is depreciated using the straight line method over five years. The estimated residual value of the motor vehicle at the end of year five is $4 000
- At 30 April 2022, income owing to Ali of $3 270 included an irrecoverable debt of $70
- Ali wishes to maintain a provision for irrecoverable debts of 5% of trade receivables.
- The balance on the bank loan is repayable in 2024.

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9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

(a) Prepare the income statement for the year ended 30 April 2022.

(12)

Ali
Income statement for the year ended 30 April 2022

	$	$
Income		
Wages		
Fuel		
Insurance		
Depreciation		
Office rent and rates		
Irrecoverable debts		
Provision for irrecoverable debts		
Bank interest		
Profit for the year		

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OLevels.COM SCHOOL

9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

(b) Prepare the statement of financial position at 30 April 2022.

(8)

Ali
Statement of financial position at 30 April 2022

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DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 1 5 7 7 A 0 8 1 2

9. Question 2 · part c.ii · 2 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part c.ii only.

DO NOT WRITE IN THIS AREA

(c) (i) Explain why the **prudence** concept should be applied when writing off an irrecoverable debt.

(3)

(ii) Explain why the **accruals** concept should be applied when providing for depreciation of a motor vehicle.

(2)

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(Total for Question 2 = 25 marks)

OLevels.COM SCHOOL

9. Question 2 · part c.ii · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Calculating depreciation and carrying value

A year's charge, accumulated depreciation or carrying value under either method, including part-year policies.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-04

1. Question 18 · part c · 4 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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1. Question 18 · part c · 4 marks

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

On 1 March 2023 Xavier sold Machine A for $17 500

(d) Calculate the profit or loss on the disposal of Machine A.

(1)

.....

.....

(e) Prepare the provision for depreciation – machinery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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1. Question 18 · part c · 4 marks · Working and answer

Working and answer

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2. Question 7 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.

7 A business purchases a machine for $40 000. Depreciation is charged at 25% per annum on a straight line basis.

Identify the net book value of the machine after two years.

- ☒ **A** $10 000
- ☒ **B** $20 000
- ☒ **C** $22 500
- ☒ **D** $30 000

(Total for Question 7 = 1 mark)

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Working and answer

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3. Question 18 · part a · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part a only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

.....

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

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3. Question 18 · part a · 1 mark · Working and answer

Working and answer

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4. Question 18 · part d.i · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part d.i only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

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4. Question 18 · part d.i · 2 marks

2021 JUN · Paper 01

Further practice · Attempt part d.i only.

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On 1 April 2018 Rafiq purchased a motor vehicle at a cost of $48 000

On 1 December 2020 Rafiq sold the motor vehicle to Bilal for $28 000. One half of the sale proceeds were received by bank transfer on that date and the balance was to be paid on 30 June 2021.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Rafiq prepares financial statements to 31 January.

(d) (i) Calculate the carrying value of the motor vehicle at 1 December 2020.

(2)

.....

.....

.....

.....

(ii) Prepare the motor vehicle disposal account.

(6)

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

4. Question 18 · part d.i · 2 marks · Working and answer

Working and answer

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5. Question 18 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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5. Question 18 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

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Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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5. Question 18 · part c · 1 mark · Working and answer

Working and answer

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6. Question 17 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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6. Question 17 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

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(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

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(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

6. Question 17 · part d · 1 mark · Working and answer

Working and answer

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7. Question 18 · part c.i · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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7. Question 18 · part c.i · 1 mark · Working and answer

Working and answer

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8. Question 18 · part c.ii · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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8. Question 18 · part c.ii · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

On 1 January 2022 Wang purchased machinery at a cost of $60 000. He intended to use the machinery for five years and estimated that the machinery would have a scrap value of $10 000

(d) Prepare the machinery – provision for depreciation account for the years ended 31 December 2022 and 31 December 2023 using the **reducing balance** method of depreciation at a rate of 20% per annum.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(e) Explain **one** reason why the accruals concept applies when depreciating non-current assets.

(2)

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.....

.....

.....

(Total for Question 18 = 15 marks)

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8. Question 18 · part c.ii · 1 mark · Working and answer

Working and answer

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9. Question 17 · part c.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part c.i only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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9. Question 17 · part c.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part c.i only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

9. Question 17 · part c.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part c.i only.

On 1 July 2022 Dominic purchased new machinery at a cost of $36 500

On 1 August 2024 he sold the machinery to Gerhardt for $24 600

Gerhardt paid one third of the sale price by bank transfer on that date with the remainder being transferred to a loan account.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) (i) Calculate the carrying value of the machinery at 1 August 2024.

(1)

.....

.....

(ii) Prepare the disposal account for the year ended 30 June 2025.

(7)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

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9. Question 17 · part c.i · 1 mark · Working and answer

Working and answer

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Practice workbook · Choosing between straight line and reducing balance, and changing method

Comparing the two depreciation methods, judging which fits an asset, and advising on a proposed change with reference to consistency.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ADJ-03

1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

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1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

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(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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QUESTION 18 CONTINUES ON NEXT PAGE.

1. Question 18 · part d · 5 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

Shauna has been advised that she should consider charging depreciation on the straight line method rather than the reducing balance method.

(d) Advise Shauna whether or not she should change her method of charging depreciation. Justify your advice by discussing **both** methods.

(5)

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(Total for Question 18 = 15 marks)

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1. Question 18 · part d · 5 marks · Working and answer

Working and answer

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

2 (a) Identify, by indicating with a tick (✓), where in the financial statements each item would be shown.

The first item has been completed for you.

(6)

Item	Manufacturing account	Income statement	Statement of financial position
Purchase of raw materials	✓		
Accumulated depreciation – plant and machinery			
Carriage outwards			
Factory supervisor's salary			
Purchase of finished goods			
Returns inwards			
Royalties paid			

Dumadi, a manufacturer, provided the following information.

At 1 April 2018	$
Inventories	
Raw materials	12 500
Work in progress	3 600
Finished goods	5 500
Plant and machinery	
Cost	112 400
Accumulated depreciation	65 400
At 31 March 2019	
Prime cost	274 410
Indirect factory wages	16 320
Factory light, heat and power	9 620
Other receivables – rent and rates	1 800
Rent, rates and insurance	37 800
Inventories	
Raw materials	9 200
Work in progress	3 200
Finished goods	8 400

- Rent, rates and insurance are apportioned 70% to the factory and 30% to the office.
- Depreciation is provided on plant and machinery at 20% per annum using the reducing balance method.

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Prepare the manufacturing account for the year ended 31 March 2019 starting with the prime cost.

(9)

Dumadi
Manufacturing account for the year ended 31 March 2019

	$
Prime cost	274 410

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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Complete the table, by indicating with a tick (✓) the effect each transaction would have on the profit for the year of a manufacturer.

(3)

	Increase	Decrease	No effect
Purchase of plant and machinery			
Increase in the allowance for doubtful debts			
Increase in the closing inventory of finished goods			

(d) Discuss the reasons why Dumadi uses the reducing balance method to depreciate his plant and machinery rather than the straight line method.

(5)

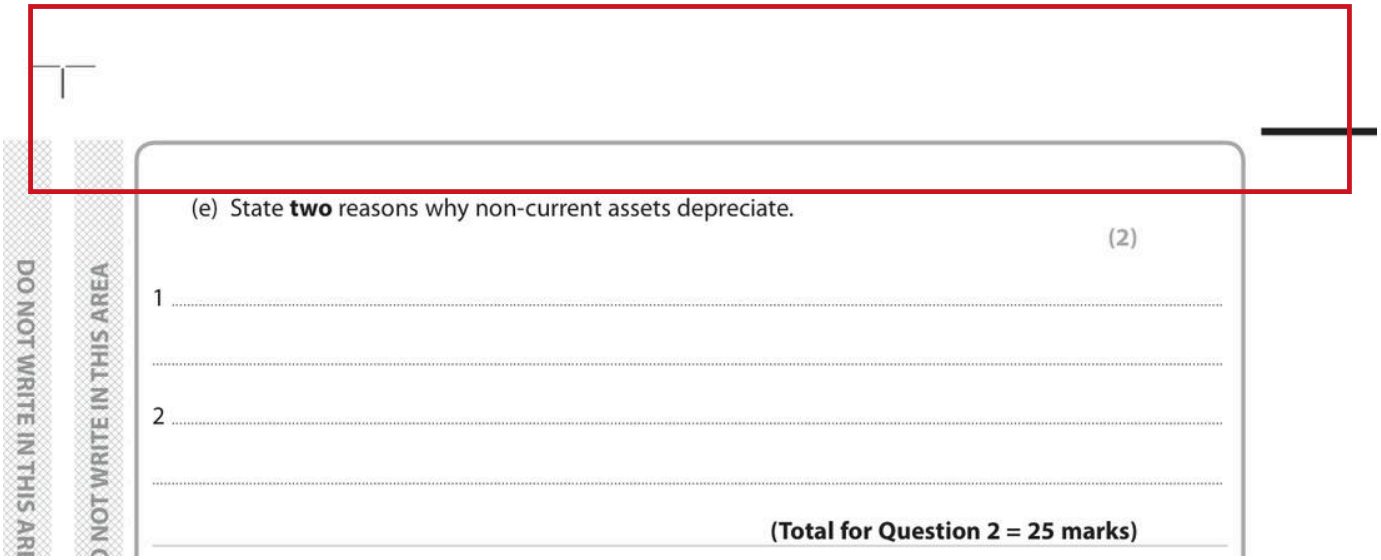
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2. Question 2 · part d · 5 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.



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(e) State **two** reasons why non-current assets depreciate.

(2)

1 .....

.....

2 .....

.....

(Total for Question 2 = 25 marks)

Working and answer

OLevels.com SCHOOL

3. Question 18 · part d · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

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3. Question 18 · part d · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

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(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

(Total for Question 18 = 15 marks)

3. Question 18 · part d · 5 marks · Working and answer

Working and answer

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

	1 April 2020 $	31 March 2021 $
Motor vehicle		
Cost	40 000	50 000
Accumulated depreciation	19 520	**To be calculated**
Land	31 670	31 670
Cash at bank	1 350	1 650 Cr
Inventory	21 500	24 000
Other receivables - insurance	1 500	–
Trade payables	32 000	31 000
Trade receivables	34 500	37 500

During the year ended 31 March 2021 Amira sold her motor vehicle for $22 940.

In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

At 31 March 2021 irrecoverable debts of $2 500 were to be written off. A provision for irrecoverable debts of 5% was to be created.

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

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(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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4. Question 2 · part d.ii · 3 marks

2021 JUN · Paper 02

Further practice · Attempt part d.ii only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

Equity Account

Date	Details	$	Date	Details	$

(d) Explain, referring to a relevant accounting concept, why Amira:

(i) introduced a provision for irrecoverable debts

(2)

(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

(3)

(Total for Question 2 = 25 marks)

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4. Question 2 · part d.ii · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 13 · part a · 2 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

13 (a) State **two** methods of calculating depreciation.

(2)

1 .....

2 .....

(b) State **two** reasons why non-current assets depreciate.

(2)

1 .....

2 .....

(c) State **one** accounting concept which applies when depreciating non-current assets.

(1)

.....

(Total for Question 13 = 5 marks)

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Working and answer

6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

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(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

OLevels.COM SCHOOL

6. Question 1 · part d · 2 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part d only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

(3)

(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

(2)

(Total for Question 1 = 25 marks)

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Working and answer

7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

OLevels.COM SCHOOL

7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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OLevels.com SCHOOL

7. Question 1 · part c · 4 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Advise Jay why it is important to differentiate between capital expenditure and revenue expenditure.

(5)

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(Total for Question 1 = 25 marks)

OLevels.COM SCHOOL

7. Question 1 · part c · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

2 On 31 March 2025 Taylor provided the following trial balance after the preparation of the trading account for the year.

Taylor
Trial balance at 31 March 2025

Account	Debit $	Credit $
Cash at bank		2200
Cash in hand	1120	
Drawings	50000	
Equity		250000
Fixtures and fittings – cost	50000	
Fixtures and fittings – provision for depreciation		10000
Gross profit		419250
Lighting and heating	10800	
Inventory	35200	
Irrecoverable debts	250	
Land and buildings – cost	250000	
Motor vehicles – cost	20000	
Motor vehicles – provision for depreciation		7200
Profit on disposal of motor vehicle		800
Provision for irrecoverable debts		750
Sundry expenses	39630	
Trade payables		9800
Trade receivables	12000	
Wages and salaries	231000	
	700000	**700000**

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8

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8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

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Additional information at 31 March 2025

- The figure shown for wages and salaries covers the 11 months to 28 February 2025. Salaries for March 2025 are due and unpaid. There have been no salary increases or changes in staff over the past 12 months.
- Motor vehicles are to be depreciated by 20% using the reducing balance method.
- Fixtures and fittings are to be depreciated by 10% using the straight-line method.
- The provision for irrecoverable debts is to be maintained at 5% of trade receivables.

(a) Prepare an income statement extract showing the **profit and loss section** only.

(8)

Taylor
Income statement extract for the year ended 31 March 2025

OLevels.COM SCHOOL

8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare a statement of financial position at 31 March 2025.

(12)

Taylor
Statement of financial position at 31 March 2025

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OLevels.com SCHOOL

8. Question 2 · part c · 5 marks

2025 NOV · Paper 02

Further practice · Attempt part c only.

Taylor is considering changing his depreciation policy to allow for all non-current assets to be depreciated at the rate of 20% using the straight-line method.

(c) Advise, referring to **two** relevant accounting concepts, whether he should proceed with this change.

(5)

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(Total for Question 2 = 25 marks)

8. Question 2 · part c · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Provision for depreciation account

Writing up accumulated depreciation for a class of assets over a year, including removing the amount on an asset sold.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-05

1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

18 On 1 May 2023 Alex owed wages of $1 580, and had paid wages in advance of $920

During the year ended 30 April 2024 Alex paid wages of $87 900

On 30 April 2024 Alex owed wages of $4 230

(a) Prepare the wages account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(5)

Wages Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

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1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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On 1 May 2023 Alex had received rent in advance of $800 from his tenant.

During the year ended 30 April 2024 Alex received rent of $7 800

On 30 April 2024 Alex had received rent in advance of $1 300

(b) Prepare the rent receivable account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Rent Receivable Account

Date	Details	$	Date	Details	$

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1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

On 1 May 2023 the balance on the motor vehicles cost account was $172 000 and the balance on the motor vehicles provision for depreciation account was $85 000

On 30 September 2023 Alex sold a motor vehicle for $16 000 and received a bank transfer in full settlement.

This motor vehicle had been purchased on 31 March 2022 for $36 000 and had a residual value of $8 000

Alex depreciates motor vehicles at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Prepare the motor vehicles – provision for depreciation account for the year ended 30 April 2024. Balance the account at this date and bring the balance down on 1 May 2024.

(4)

Motor Vehicles – Provision for Depreciation Account

Date	Details	$	Date	Details	$

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18

P 7 5 8 3 6 A 0 1 8 2 0

1. Question 18 · part c · 4 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part c only.

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(d) Explain, referring to an accounting concept, **one** reason why it is necessary for a business to account for depreciation on its non-current assets.

(2)

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(Total for Question 18 = 15 marks)

1. Question 18 · part c · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 16 · part d · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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OLevels.com SCHOOL

2. Question 16 · part d · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

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2. Question 16 · part d · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 18 · part a · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part a only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

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3. Question 18 · part a · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 18 · part b · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

.....

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

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4. Question 18 · part b · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

(Total for Question 18 = 15 marks)

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4. Question 18 · part b · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 18 · part e · 4 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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5. Question 18 · part e · 4 marks

2021 NOV · Paper 01

Further practice · Attempt part e only.

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Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

DO NOT WRITE IN THIS AREA

(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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5. Question 18 · part e · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 17 · part e · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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OLevels.com SCHOOL

6. Question 17 · part e · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part e only.

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(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

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6. Question 17 · part e · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 18 · part e · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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7. Question 18 · part e · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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On 1 March 2023 Xavier sold Machine A for $17 500

(d) Calculate the profit or loss on the disposal of Machine A.

(1)

.....

.....

(e) Prepare the provision for depreciation – machinery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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7. Question 18 · part e · 4 marks · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 18 · part d · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) State **two** factors that cause the value of non-current assets to depreciate.

(2)

1 .....

2 .....

(b) Define **each** of the following terms.

(4)

Capital expenditure

.....

.....

.....

.....

Revenue expenditure

.....

.....

.....

.....

On 1 January 2023 a trader owned a motor vehicle, cost $20 000, with depreciation to date of $8 000

(c) Calculate the depreciation charge for the year ended 31 December 2023 using the:

(i) straight line method of depreciation at 20% per annum

(1)

.....

(ii) reducing balance method of depreciation at 20% per annum.

(1)

.....

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8. Question 18 · part d · 5 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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On 1 January 2022 Wang purchased machinery at a cost of $60 000. He intended to use the machinery for five years and estimated that the machinery would have a scrap value of $10 000

(d) Prepare the machinery – provision for depreciation account for the years ended 31 December 2022 and 31 December 2023 using the **reducing balance** method of depreciation at a rate of 20% per annum.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

OLevels.com SCHOOL

(e) Explain **one** reason why the accruals concept applies when depreciating non-current assets.

(2)

.....

.....

.....

.....

(Total for Question 18 = 15 marks)

8. Question 18 · part d · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Disposal of non-current assets: cost, disposal and profit or loss on sale

Recording the sale of a non-current asset through the disposal account (with the cost account or the provision for depreciation account where asked) and finding the gain or loss, by account or by direct calculation.

16 question parts: 1 worked-example retry and 15 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: ACC-ADJ-06

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

18 (a) Explain **one** reason why it is necessary to provide for depreciation on non-current assets.

(2)

On 1 January 2022 the balance on the motor vehicles cost account was $76 600

On 1 March 2022 a motor vehicle was sold for $12 000, payment being received by cheque. This motor vehicle was originally purchased on 1 January 2020 for $18 000

On 1 June 2022 a new motor vehicle was purchased costing $21 500, paid for by cheque.

Motor vehicles are depreciated at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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OLevels.com SCHOOL

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

(b) Prepare the following accounts for the year ended 31 December 2022.

(9)

Motor Vehicles – Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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19

Turn over

1. Question 18 · part b · 9 marks

2023 NOV · Paper 01

Worked-example retry · Attempt part b only.

(c) (i) Identify, indicating with a tick (✓), the effect on gross profit if the purchase of the new vehicle was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

(ii) Explain why the purchase of the new motor vehicle was treated as capital expenditure.

(3)

(Total for Question 18 = 15 marks)

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1. Question 18 · part b · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 17 · part c · 10 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(b) Identify, indicating with a tick (✓), how **each** item would be treated when a new motor van is purchased for use in the business.

(3)

	Capital expenditure	Revenue expenditure
Installed shelving in van		
Motor insurance		
Signwriting on van		

Guy prepares his financial statements to 31 January.

On 1 February 2021, the balances on the motor vans accounts were:

Cost $146 000
Provision for depreciation $68 000

On 1 August 2021, Guy sold a motor van that he had purchased for $36 000 on 1 August 2019. He received a cheque for $25 000 in full settlement.

On 1 September 2021, Guy purchased a new motor van for $49 000 paid for by bank transfer.

Motor vans are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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2. Question 17 · part c · 10 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 January 2022.

(10)

Motor Vans - Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

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OLevels.COM SCHOOL

2. Question 17 · part c · 10 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 18 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

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3. Question 18 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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OLevels.com SCHOOL

QUESTION 18 CONTINUES ON NEXT PAGE.

3. Question 18 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 13 · part whole · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

13 On 31 March 2019 Ehab sold machinery for $16 000.

The machinery had been purchased on 1 November 2016 for $24 000.

He depreciates machinery at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

Ehab's financial year end is 31 March.

Prepare the disposal account.

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 13 = 5 marks)

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OLevels.com SCHOOL

4. Question 13 · part whole · 5 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 16 · part e · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

16 (a) Explain **one** difference between capital expenditure and revenue expenditure.

(2)

(b) State **two** accounting concepts that apply when charging depreciation.

(2)

1 .....

2 .....

(c) State **three** factors that may cause a non-current asset to depreciate.

(3)

1 .....

2 .....

3 .....

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OLevels.com SCHOOL

5. Question 16 · part e · 4 marks

2019 JUN · Paper 01

Further practice · Attempt part e only.

On 1 April 2017 Rosa purchased **two** motor vehicles costing $50 000 **each**.

On 1 January 2019 she sold **one** of the motor vehicles for $35 500. The sale proceeds were received by cheque.

Depreciation is charged at 20% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(d) Prepare the provision for depreciation – motor vehicles account for the year ended 31 March 2019. Balance the account on that date and bring the balance down on 1 April 2019.

(4)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(e) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 16 = 15 marks)

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5. Question 16 · part e · 4 marks · Working and answer

Working and answer

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6. Question 18 · part b · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

18 Nyat provided the following information at 1 January 2019

Account	$
Motor vehicles at cost	48 000
Motor vehicles provision for depreciation	16 000

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$

(b) Prepare the disposal account showing the transfer to the income statement.

(5)

Disposal Account

Date	Details	$	Date	Details	$

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6. Question 18 · part b · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part b only.

Nyat is considering purchasing a computerised accounting package.

(c) Evaluate the benefits of this proposal.

(5)

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(Total for Question 18 = 15 marks)

6. Question 18 · part b · 5 marks · Working and answer

Working and answer

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7. Question 18 · part c · 4 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

18 At 1 January 2019 the balance on the machinery account was $18 000 and the balance on the provision for depreciation machinery account was $9 000

Machinery is depreciated at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

On 30 June 2019 a machine purchased on 30 September 2017 costing $4 200 was sold for $2 000. The payment was received by cheque.

(a) Calculate the total depreciation charged on the machine that was sold.

(1)

(b) Prepare the provision for depreciation machinery account for the year ended 31 December 2019. Balance the account on 31 December 2019 and bring the balance down on 1 January 2020.

(5)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

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7. Question 18 · part c · 4 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

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(c) Prepare the asset disposal account.

(4)

Asset Disposal Account

Date	Details	$	Date	Details	$

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(d) Evaluate the effect on the business's financial statements of a change in the depreciation method for machinery to reducing balance.

(5)

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(Total for Question 18 = 15 marks)

7. Question 18 · part c · 4 marks · Working and answer

Working and answer

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8. Question 13 · part a · 4 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

13 On 31 December 2019, Lewin sold a motor vehicle, cost $20 000, with a carrying value of $16 000. The proceeds of the sale, $16 400, were received by cheque.

(a) Prepare the disposal account for the year ended 31 December 2019.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(b) State **one** cause of depreciation of a non-current asset.

(1)

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(Total for Question 13 = 5 marks)

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Working and answer

9. Question 18 · part d.ii · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d.ii only.

18 (a) State **two** differences between capital expenditure and revenue expenditure.

(4)

Difference 1

Difference 2

(b) State **two** causes of depreciation.

(2)

1 .....

2 .....

(c) State **one** accounting concept that applies when providing for depreciation.

(1)

.....

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9. Question 18 · part d.ii · 6 marks

2021 JUN · Paper 01

Further practice · Attempt part d.ii only.

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On 1 April 2018 Rafiq purchased a motor vehicle at a cost of $48 000

On 1 December 2020 Rafiq sold the motor vehicle to Bilal for $28 000. One half of the sale proceeds were received by bank transfer on that date and the balance was to be paid on 30 June 2021.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Rafiq prepares financial statements to 31 January.

(d) (i) Calculate the carrying value of the motor vehicle at 1 December 2020.

(2)

.....

.....

.....

.....

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(ii) Prepare the motor vehicle disposal account.

(6)

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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9. Question 18 · part d.ii · 6 marks · Working and answer

Working and answer

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10. Question 18 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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10. Question 18 · part d · 2 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

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Hunter started in business on 1 April 2018. On that date he purchased Machine A for $26 000 and on 1 December 2018 he purchased Machine B for $16 000.

Depreciation is charged at 10% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) Calculate the balance on the machinery – provision for depreciation account at 31 March 2019.

(1)

.....

On 1 January 2020 Hunter sold Machine A for $18 000

(d) Calculate the profit or loss on the disposal of Machine A.

(2)

.....

.....

(e) Prepare the machinery – provision for depreciation account for the year ended 31 March 2020. Balance the account on this date and bring the balance down on 1 April 2020.

(4)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

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10. Question 18 · part d · 2 marks · Working and answer

Working and answer

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11. Question 17 · part f · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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11. Question 17 · part f · 4 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

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11. Question 17 · part f · 4 marks · Working and answer

Working and answer

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12. Question 18 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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12. Question 18 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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On 1 March 2023 Xavier sold Machine A for $17 500

(d) Calculate the profit or loss on the disposal of Machine A.

(1)

.....

.....

(e) Prepare the provision for depreciation – machinery account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Depreciation – Machinery Account

Date	Details	$	Date	Details	$

(Total for Question 18 = 15 marks)

Working and answer

13. Question 10 · part whole · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part whole only.

10 A business sells a non-current asset for $3 500. The non-current asset had an original cost of $12 500 and had been depreciated by $8 000

Identify the profit or loss on disposal.

- ☒ **A** $1 000 profit
- ☒ **B** $1 000 loss
- ☒ **C** $4 500 profit
- ☒ **D** $4 500 loss

(Total for Question 10 = 1 mark)

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Working and answer

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14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

14. Question 17 · part c.ii · 7 marks

2025 NOV · Paper 01

Further practice · Attempt part c.ii only.

On 1 July 2022 Dominic purchased new machinery at a cost of $36 500

On 1 August 2024 he sold the machinery to Gerhardt for $24 600

Gerhardt paid one third of the sale price by bank transfer on that date with the remainder being transferred to a loan account.

Depreciation is charged at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

(c) (i) Calculate the carrying value of the machinery at 1 August 2024.

(1)

.....

.....

(ii) Prepare the disposal account for the year ended 30 June 2025.

(7)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

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14. Question 17 · part c.ii · 7 marks · Working and answer

Working and answer

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15. Question 17 · part a · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

17 Carson depreciates his computer equipment using the straight line method at 20% per annum. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

On 1 September 2021 the balances were:

Computer equipment – cost	$16 800
Computer equipment – provision for depreciation	$ 9 200

On 1 May 2022, computer equipment originally purchased on 1 March 2020 for $3 600, was sold for $1 950

(a) Prepare the following accounts for the year ended 31 August 2022.

(9)

Computer Equipment – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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15. Question 17 · part a · 9 marks

2023 JAN · Paper 01

Further practice · Attempt part a only.

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(b) Define the following terms, giving an example of each.

(4)

Term	Definition	Example
Capital expenditure		
Revenue expenditure		

(c) State **two** ways Carson could maintain the security of his computerised data.

(2)

1 .....

2 .....

(Total for Question 17 = 15 marks)

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15. Question 17 · part a · 9 marks · Working and answer

Working and answer

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16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

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16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

(c) Prepare the following accounts for the year ended 31 December 2024.

(5)

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

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QUESTION 18 CONTINUES ON NEXT PAGE.

16. Question 18 · part c · 5 marks

2025 JUN · Paper 01

Further practice · Attempt part c only.

Shauna has been advised that she should consider charging depreciation on the straight line method rather than the reducing balance method.

(d) Advise Shauna whether or not she should change her method of charging depreciation. Justify your advice by discussing **both** methods.

(5)

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(Total for Question 18 = 15 marks)

16. Question 18 · part c · 5 marks · Working and answer

Working and answer

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